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Union Budget 2026–27: Fiscal drag ending

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Union Budget FY27: Fiscal drag ending

- **The FY27 Union Budget performed a balancing act between the need to support growth and the imperative to maintain fiscal prudence amid rising global uncertainties.**

- **The gross fiscal deficit (GFD) for FY27 is targeted at 4.3% of GDP (4.4% in FY26). This is a slower pace of fiscal consolidation versus previous years. Indeed, when combined with the removal of compensation cess (0.2% of GDP for FY27), it amounts to a neutral fiscal impulse versus a negative impulse in the last five years. Hence, the fiscal drag is ending in FY27, which all else equal, will be growth supportive.**

- **The Finance Minister reiterated the fiscal roadmap of lowering India's central government debt to GDP to around 50% (+/- 1%) by FY31 versus 56.1% in FY26.**

- **The fiscal math is credible with gross tax revenue (GTR) budgeted to grow 8% YoY in FY27 (versus 7.4% YoY in FY26). Ex-cess, GTR is up 10.4% in FY27, quite achievable. Meanwhile, total spending is projected to grow 7.7%, a modest acceleration over 6.7% in FY26 (sixth year of spending growth undershooting NGDP growth).**

Union Budget FY27: Fiscal drag ending…continued

- As regards details of spending, the Centre's capex (including IEBR) is up ~11.5% YoY, an acceleration from a low base of less than 4% growth in FY26. Meanwhile, rural spending is up 5% YoY versus no growth in FY26. The bigger push is in defence capex, up ~17% for FY27 (versus 16% in FY26).

- Beyond the fiscal math, the key highlight was the hike in securities transaction tax (STT), which is sentimentally negative in the near-term. The government projects to collect INR740bn in FY27 under STT versus ~INR640bn in FY26.

- From a long-term growth and employment perspective, the FM gave a boost to infrastructure and a fillip to data centres through tax incentives to foreign companies. Moreover, the FM talked about creating champion MSMEs by extending them growth capital.

- From equity markets standpoint, while an STT hike is sentimentally negative, the overall Budget is largely market or sector neutral. Defence companies however shall benefit from higher allocation to defence capex. We maintain our quality/defensive bias.

  Key OW: Internet, telecom, IT, consumers, chemicals, pharma;
  Key UW: BFSI, Industrials, autos, power.

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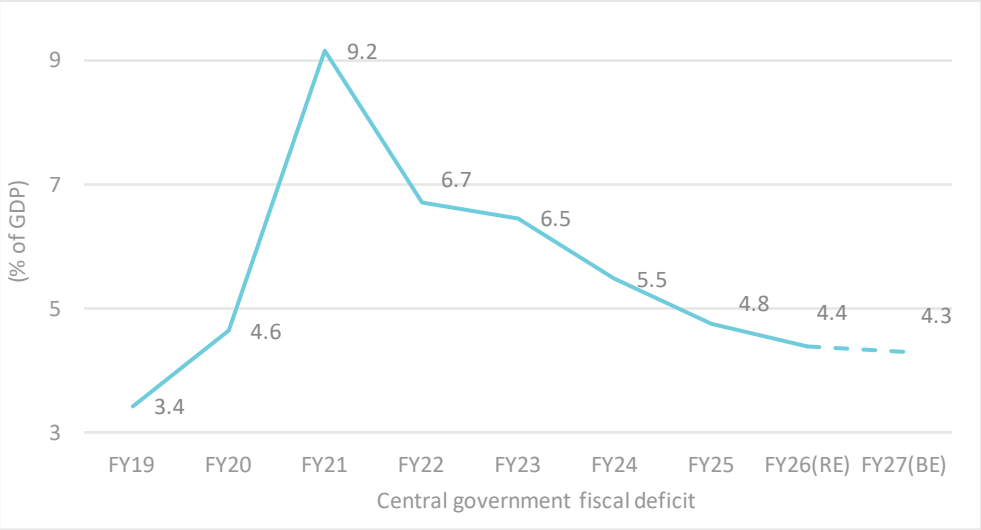
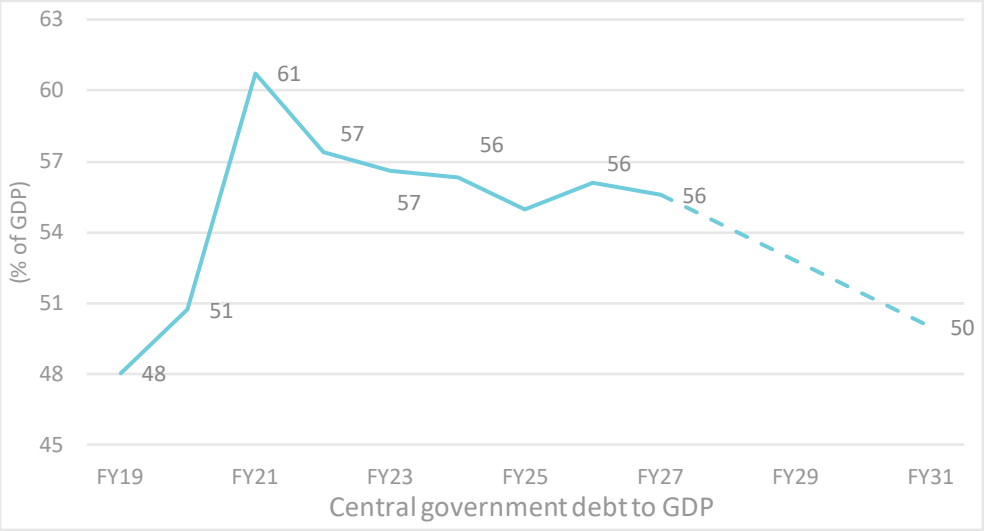
Fiscal consolidation slowing..

Fiscal consolidation pace slowing



Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates

Debt deleveraging to continue



Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates

- **FY26:** The government met the budgeted fiscal deficit target of 4.4% of GDP despite a shortfall in revenue (~INR900bn). Slower-than-budgeted spending was seen in both revenue (due to cess removal) and capital spending (lower by ~INR250bn).
- **FY27:** The FM is targeting GFD of 4.3% of GDP, a slower pace of fiscal consolidation. This along with removal of cess (~0.2% of GDP) constitutes a neutral fiscal impulse in FY27, for the first time in five years. In other words, the fiscal drag is ending in FY27.
- **Long-term debt to GDP target reiterated:** The FM reiterated the government's commitment to lower the Centre's debt to GDP to 50% (+/- 1%) by FY31 from 56.1% in FY26.

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Fiscal math: Quite credible

Particulars	(INR trillion) FY25	FY26(RE)	FY27(BE)	(% YoY) FY25	FY26(RE)	FY27(BE)
TOTAL REVENUES	***30.8***	***34.1***	***36.5***	***10.4***	***10.7***	***7.2***
Tax revenue (net)	***25.0***	***26.7***	***28.7***	***7.4***	***7.0***	***7.2***
Gross Tax revenue	38.0	40.8	44.0	9.5	7.4	8.0
Direct tax	22.2	24.2	27.0	13.6	8.9	11.4
Indirect tax	15.7	16.6	17.1	4.3	5.3	3.0
Total GST	10.3	10.5	10.2	7.3	1.9	-2.6
Others (Customs, Oil taxes, etc.)	5.5	6.1	6.9	-1.0	11.7	12.7
Less: Transfer to states	13.0	14.0	15.4	13.9	8.2	9.6
Non-Tax Revenue	***5.8***	***7.3***	***7.8***	***25.3***	***26.5***	***7.2***
TOTAL EXPENDITURE	***46.5***	***49.6***	***53.5***	***4.7***	***6.7***	***7.7***
Revenue expenditure	***36.0***	***38.7***	***41.3***	***3.1***	***7.4***	***6.6***
Interest payments	11.2	12.7	14.0	4.9	14.2	10.2
Wages and pension*	9.2	9.9	10.3	9.5	8.1	4.0
Subsidies	4.2	4.7	4.5	-2.8	11.1	-3.1
Transfer to states (for debt repayment)	1.5	0.9	0.0	5.8	-42.6	
Development revenue expenditure**	9.9	10.5	12.4	-2.0	5.4	18.2
Capital expenditure	***10.5***	***11.0***	***12.2***	***10.8***	***4.2***	***11.5***
Defence	1.7	2.0	2.3	3.7	15.7	17.0
Others	8.8	9.0	9.9	12.3	1.9	10.3
FISCAL DEFICIT	***15.7***	***15.6***	***17.0***	***-4.8***	***-1.0***	***8.8***
NOMINAL GDP	***330.7***	***357.1***	***393.0***	***9.8***	***8.0***	***10.0***
FISCAL DEFICIT (% of GDP)	***4.8***	***4.4***	***4.3***			
FUNDING OF FISCAL DEFICIT						
Net market borrowing	11.6	11.3	11.7	-1.3	-2.6	3.6
Small savings	4.3	3.7	3.9	-4.9	-13.3	3.9
Others	-0.2	0.1	1.0	-175.4	-141.7	1230.8
Net market borrowings(% of fiscal deficit)	***73.9***	***72.7***	***69.2***			

a) **Tax revenue:** Gross tax revenue budgeted to grow 8% YoY in FY27 (versus 7.4% YoY in FY26). Ex-cess, GTR is budgeted to grow 10.4% in FY27 (versus 9.4% in FY26)—quite achievable.

Direct taxes (corporate + personal) are projected to grow 11.4% YoY (versus ~9% in FY26) while GST is projected to contract (-3% YoY) reflecting removal of cess/tax cuts.

b) **Non-tax revenue:** Non-tax revenue for FY26 is set to rise 7% YoY led by higher disinvestment target (potential stake sale in IDBI Bank?).

c) **Expenditure:** To grow 7.7% YoY in FY27 versus 6.7% in FY26, slower than NGDP growth for a sixth consecutive year. With regard to details, capex spending is forecast to grow 11.5% mainly led by defence. Revenue expenditure is budgeted to grow 6.6% YoY (versus 7.4% in FY26).

Within revenue spending, rural spending is forecast to be modest with a sharp increase in social sector spending. In the last few years too social sector spending had high allocations, but remained unspent during the year.

d) **Market borrowings:** 4% higher YoY at INR11.7tn.

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Source: CMIE, Budget documents, Nuvama research

Note:*Includes defence services revenue spending ; **Includes spending on rural and social sector

Net market borrowing projected at INR11.7tn

Net market borrowing remains largely stable

Financing of fiscal deficit (INR bn)	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26(RE)	FY27(BE)
Fiscal deficit	6,494	9,337	18,183	15,835	17,378	16,546	15,744	15,585	16,958
Net market borrowing	4,233	4,740	11,467	8,915	11,058	11,778	11,629	11,328	11,732
Securities against small savings	1,250	2,400	4,837	5,512	3,958	4,514	4,295	3,722	3,868
Others	1,025	2,147	1,950	1,382	2,377	247	(186)	77	1,031
Drawdown in cash balance	(13)	50	(72)	25	(16)	8	6	457	327

Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates

- The net market borrowing number for FY26 has been lowered by INR200bn compared with Budget estimates.
- For FY27, the number is INR11.75tn broadly in line with expectations and similar to that prevailing in the last three to four years.

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FY27 revenue projections: Quite credible

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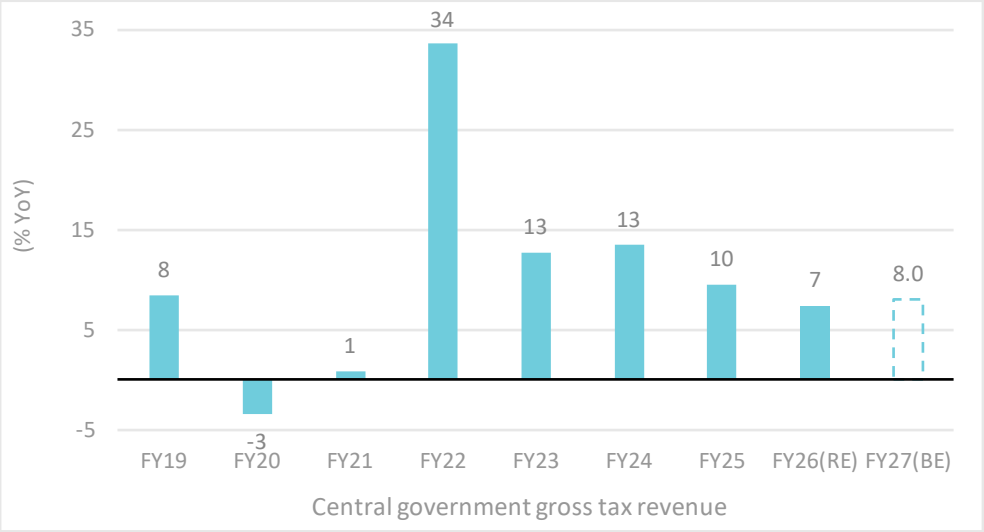
Revenues: Tax revenue forecast quite credible

Gross tax revenue projections for FY27 quite credible



Source: CMIE, Budget documents, Nuvama research
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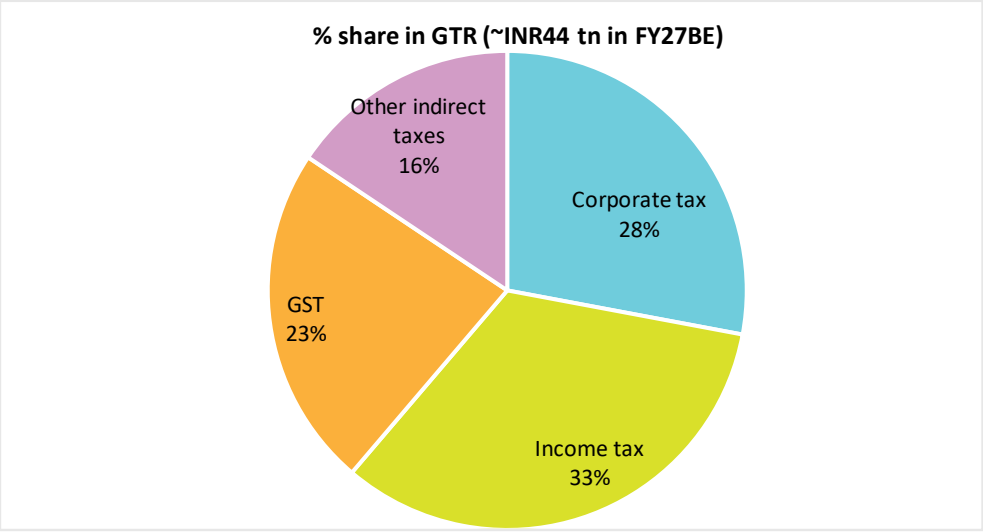
Direct taxes constitute more than 60% of GTR



Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates

- **FY26:** Gross tax revenue (GTR) is likely to grow 7% YoY—a shortfall of INR2tn versus the Budget estimates. The shortfall is owing to i) Income taxes (~INR1.3tn shortfall); ii) GST tax cuts (~INR1.3tn), partially offset by higher revenue on corporate taxes and other indirect taxes.
- **FY27:** GTR is budgeted to grow 8% YoY, which is similar to FY26 (RE). Excluding GST compensation cess, the GTR is budgeted to grow 10.4% YoY (versus 9% YoY) in FY26, which is quite credible.

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Tax revenues expected to pick up in FY27

Gross tax revenue growth now growing in line with nominal GDP growth

Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates

- Post-covid, tax revenue outpaced NGDP growth significantly. However, in recent years, GTR growth has converged to NGDP even adjusting for tax cuts. This essentially reflects loss of buoyancy in the economy. Typically during upswings, tax revenues far outpace NGDP growth.

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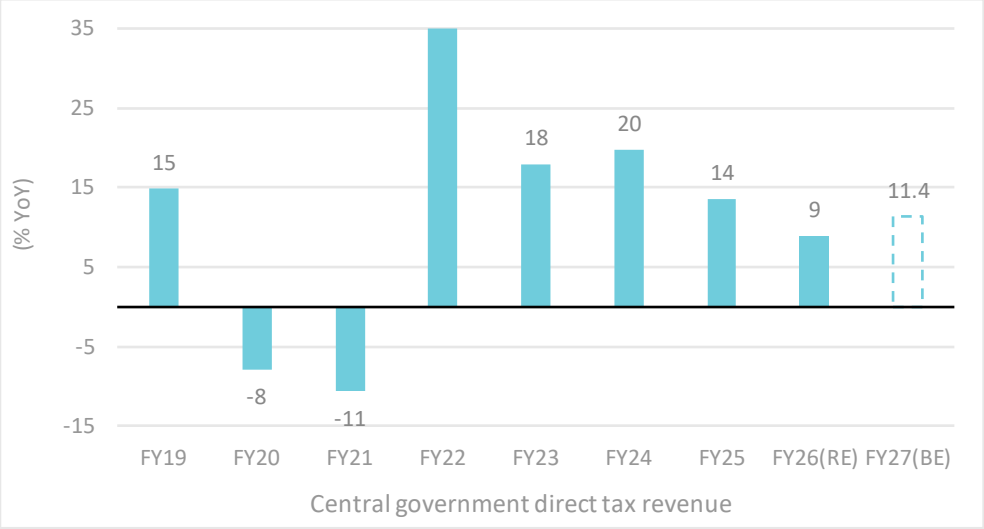
Direct taxes: To report a modest recovery led by income tax

Direct tax collections growth to post moderate recovery in FY27



Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates

…mainly on income tax front

Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates

- **FY26:** Direct taxes slowed sharply in FY26 to sub-10% YoY. The moderation in growth was mainly due to lower income tax collections (owing to tax cuts). In FY26, direct taxes were INR1tn lower than budgeted.
- **FY27:** The exchequer is building in 11–12% YoY growth. This looks quite credible, given there are no taxes and NGDP too is likely to record a modest recovery.

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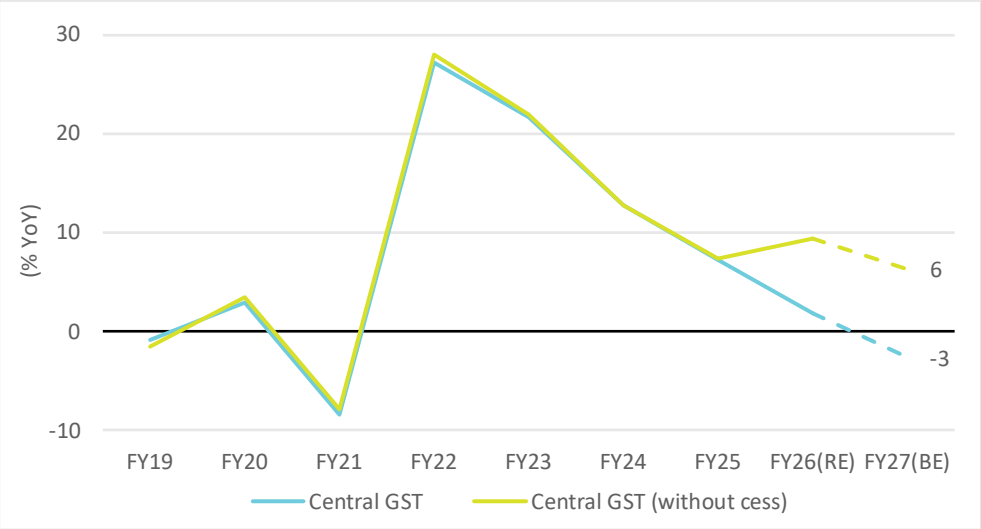
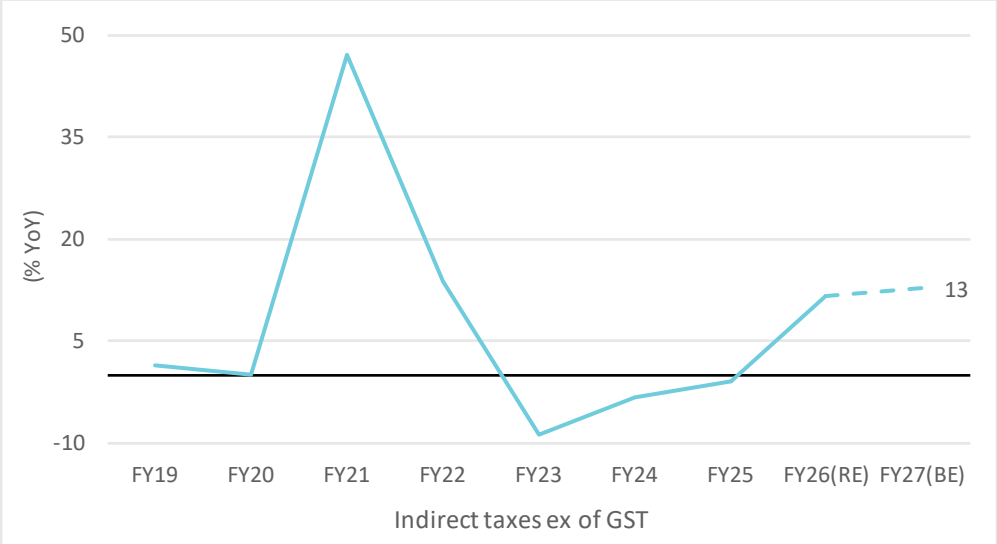
Indirect taxes: GST cuts to keep GST collections slow in FY27

Total GST collections to be slow…



Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates; FY19 includes Sep-Mar'19 data

…Other indirect taxes to report a revival



Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates
FY19 includes Sep-Mar'19 data

- **FY26:** GST collections moderated sharply owing to tax cuts and dissolution of GST compensation cess. However, other indirect taxes (customs and excise duties) logged strong growth. The total shortfall on indirect taxes was ~INR1tn.
- **FY27:** GST collections are budgeted to contract 3% YoY—owing to dissolution of cess and the impact of GST tax cuts in H1FY27. Indirect taxes (ex GST) are budgeted to grow 13% YoY (versus 12% in FY26). We think these projections are quite credible and should be achieved.

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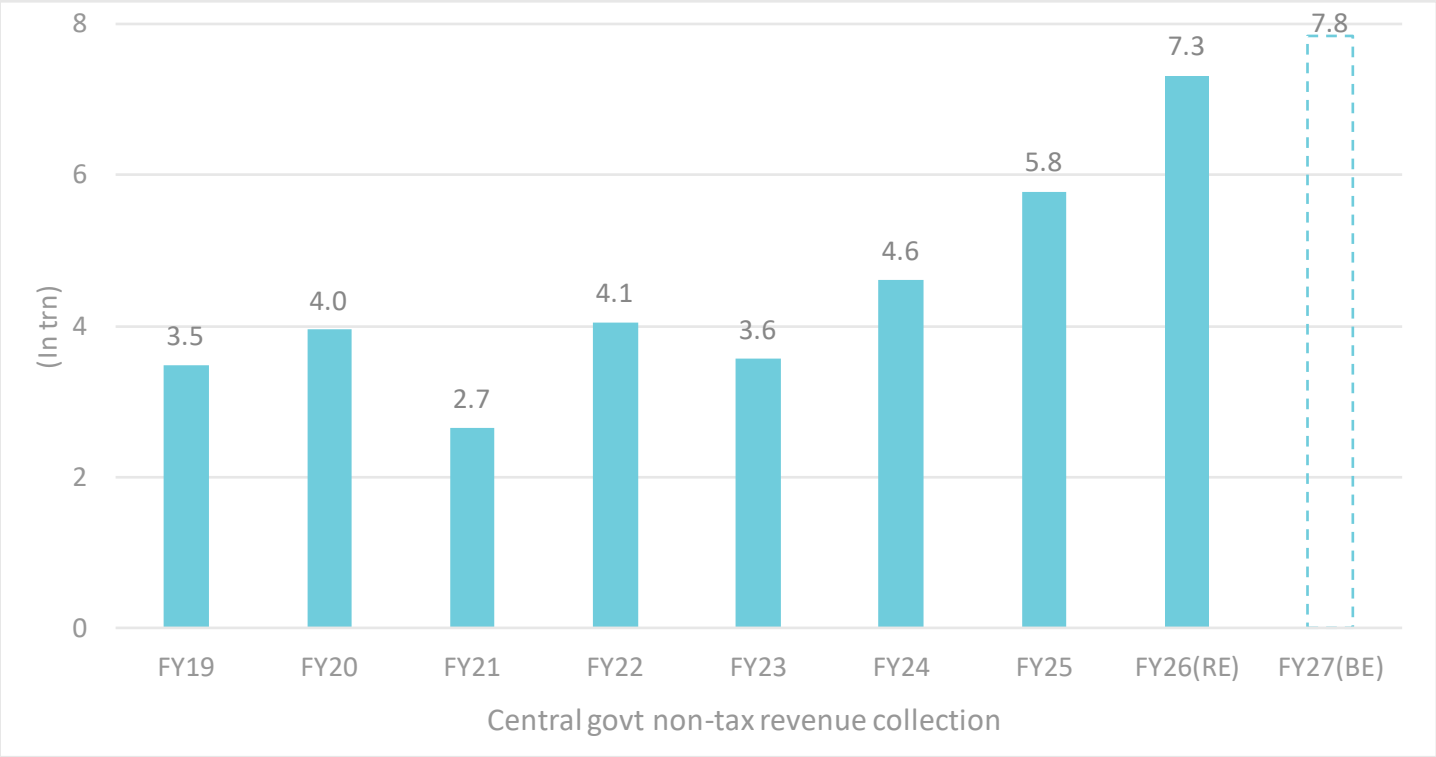
Non-tax revenue projections: Rising on higher disinvestment target

Non-tax revenues likely to remain high



Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates;

- **FY26:** Non-tax revenue saw a sharp jump largely on account of higher dividend from RBI. They overshot the budget estimates by INR500bn.
- **FY27:** Growth in non-tax revenues is budgeted to moderate to 7% (after strong growth in previous two years). For FY27, the growth is dependent on higher disinvestment receipts while that from dividends is likely to moderate.

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FY27 expenditure: Defence and social sector get higher allocation

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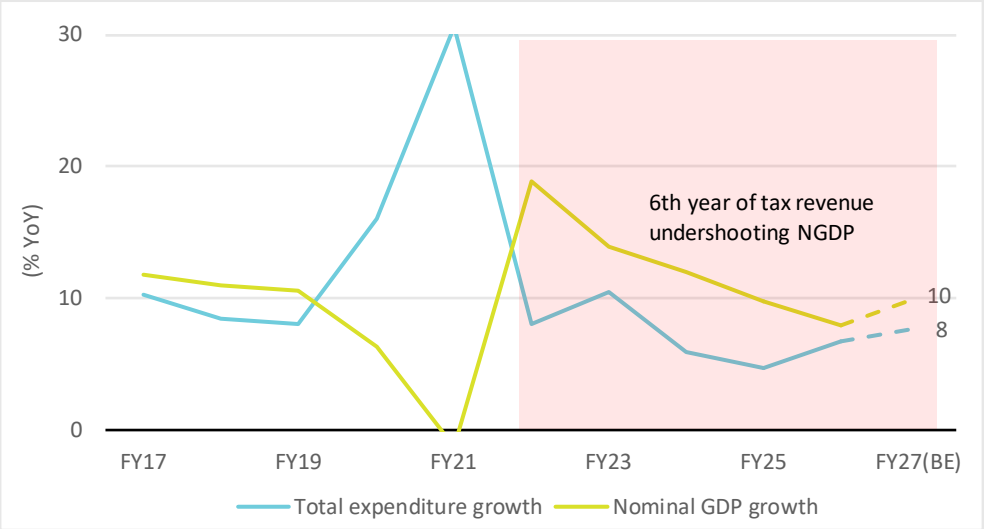
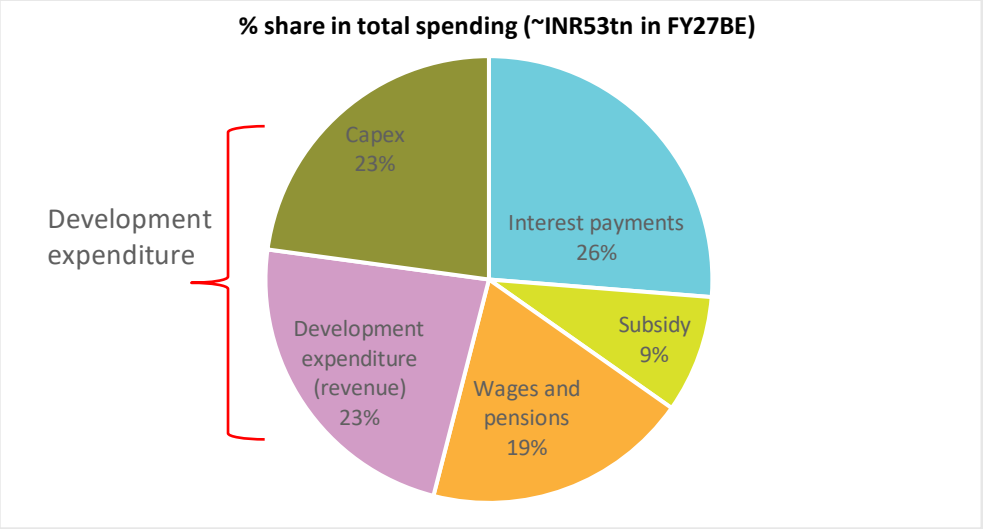
Expenditure: Total spending to undershoot NGDP for sixth year

Total spending to remain weak in FY27



Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates;

Development spending accounts for less than total government spending



Source: CMIE, Budget documents, Nuvama research
Note: FY26 (RE) stands for revised estimates; FY27(BE) stands for budget estimates;
Development revenue expenditure is revenue expenditure excluding subsidy, interest payments and wages/ pensions.

- **FY26:** Total expenditure grew just 6.7% YoY—~INR1tn lower than Budget estimates. Within spending, the cuts were mainly on capex and lower outgo of cess collections (used to repay debt).
- **FY27:** The expenditure growth in FY27 is budgeted to be 7.4%—the sixth straight year of spending below NGDP growth. This is unwarranted given NGDP growth is around 10% YoY—low by India's standards.

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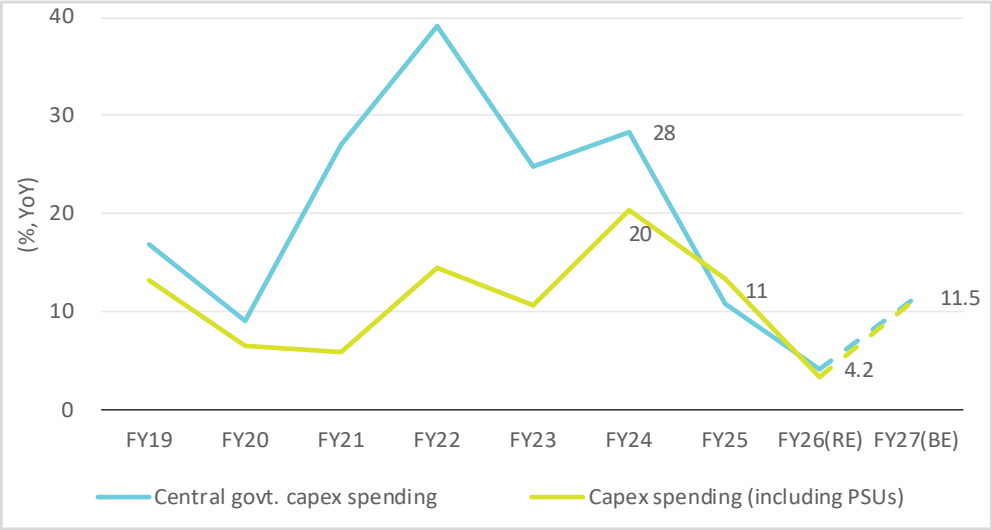
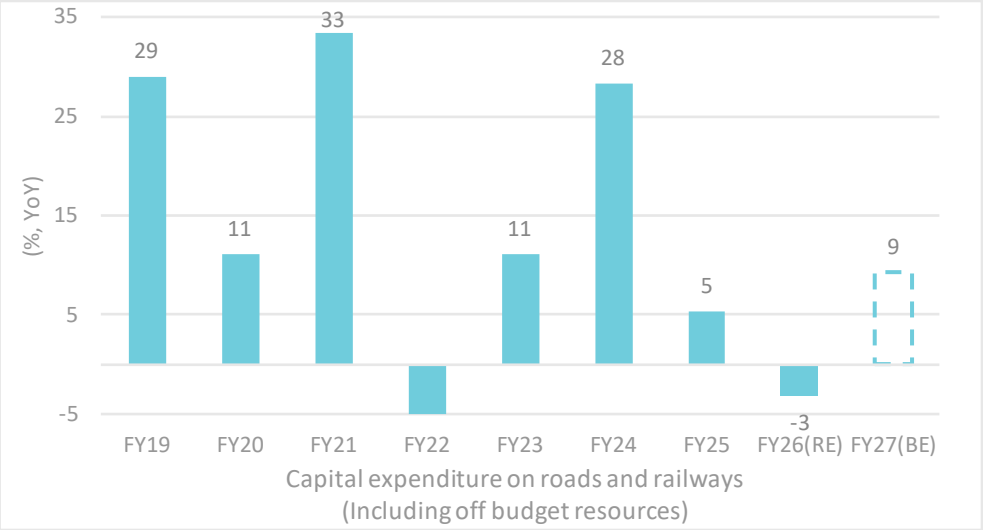
Capex spending: To recover on low base; defence push seen

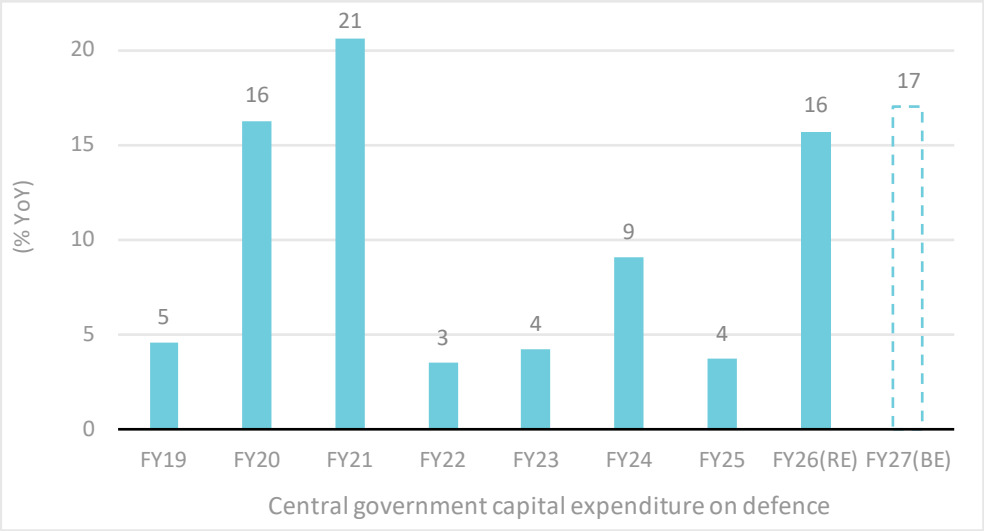
Capex spending growth likely to record modest recovery



Railways and Roads to post recovery largely owing to low base



However, defence spending remains strong



- **FY26:** Capex spending moderated sharply to just 4% YoY with roads and railways slipping into contraction although defence spending was strong.
- **FY27:** Capex spending is likely to report a revival and budgeted to grow around 11–12% YoY. Within capex, defence spending is likely to be strong—growing 17% YoY while roads and railways shall be in a slow lane growing around 9% YoY.

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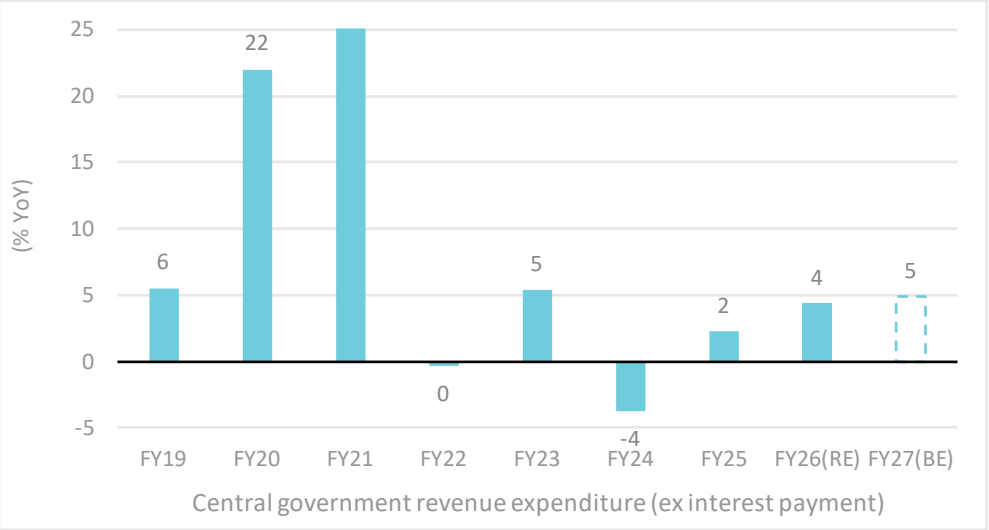
Source: CMIE, Budget documents, Nuvama Research
Note: Central government capex includes on-balance sheet spending and capex by PSUs (NHAI, NTPC, Power Grid, etc);

Revenue spending: To remain in a slow lane (ex-interest payments)

Revenue expenditure (ex interest rate) growth remains weak



Source: CMIE, Budget documents, Nuvama research
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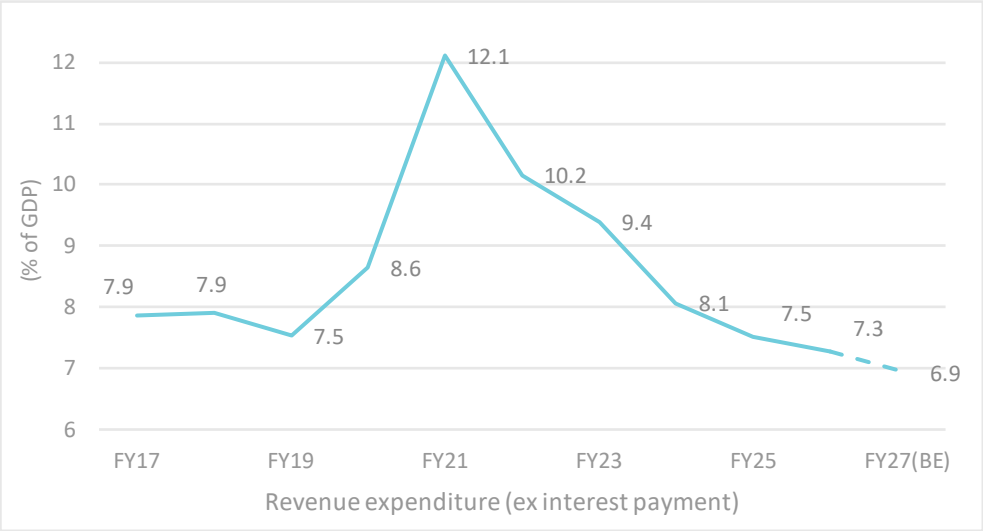
With its share in NGDP likely to be at a ten-year low



Source: CMIE, Budget documents, Nuvama research
Note: FY26(RE) stands for revised estimates; FY27(BE) stands for budget estimates

- Apart from capex, central government pursues spending on the revenue side (health, education, rural development, etc), which can largely be considered as transfers to households.
- The spending on this front, excluding interest is likely to remain quite weak at just 7% YoY—a sixth straight year of 10% or below growth. Subsidies are likely to remain stable around INR4.3tn.
- Revenue expenditure (ex interest payments) as a percentage of GDP is likely to be at a ten-year low and may perhaps be the reason behind the muted consumption trends.

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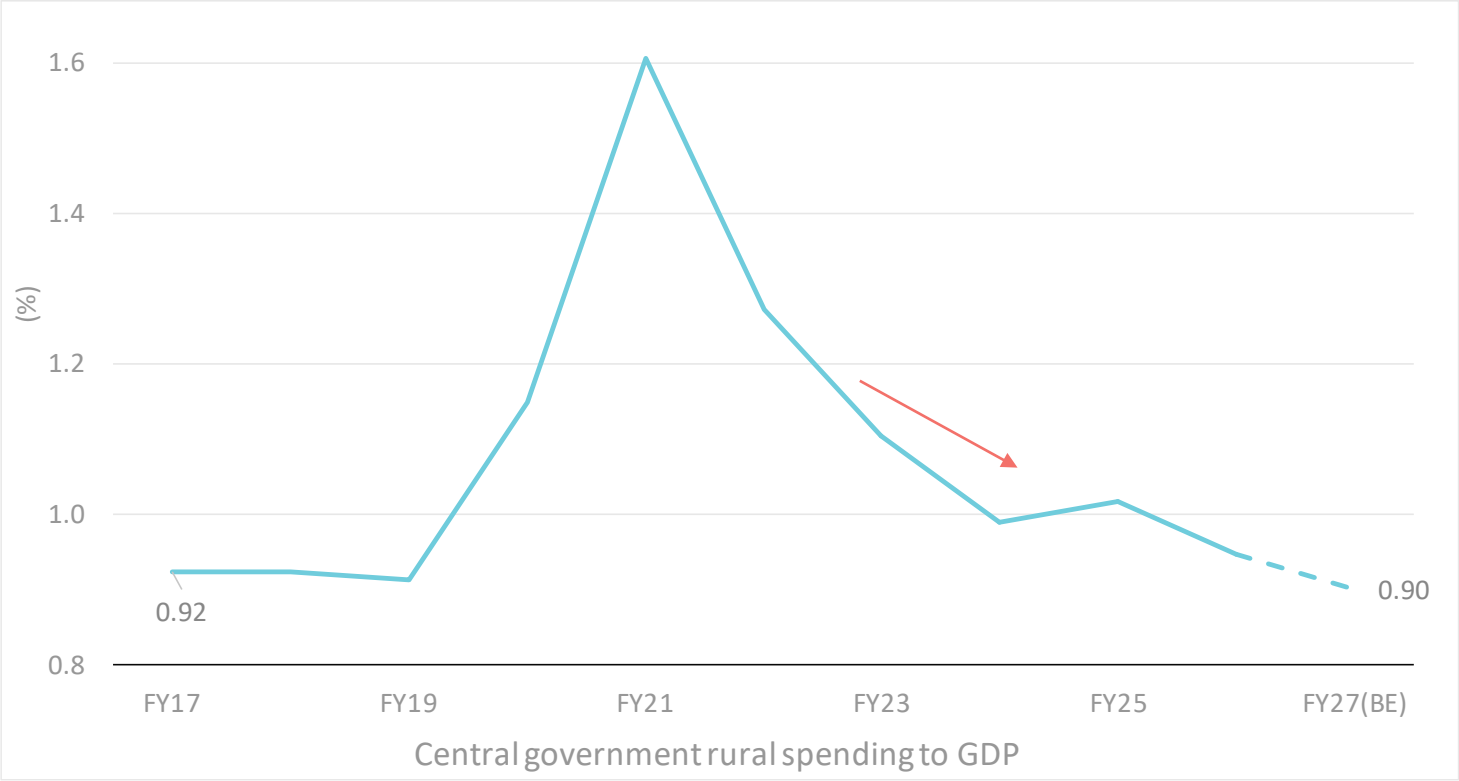
Rural spend: Remains quite weak

Rural spending as a percentage of GDP at a ten-year low



Source: CMIE, Budget documents, Nuvama Research
Note: Rural spending includes revenue spending of Ministry of agriculture, Ministry of water resources and department of rural development; FY26(RE) stands for revised estimates; FY27(BE) stands for budget estimates

- Central government spending to rural areas (via rural employment, rural housing, etc.) ramped up sharply during covid. However, in last 5 years, the absolute spending in rural economy has flattened out at INR3.5tn.
- Infact, the share of rural spending to GDP has seen a very sharp moderation and is now below 1% of GDP – adversely impacting the spending power of the rural economy.

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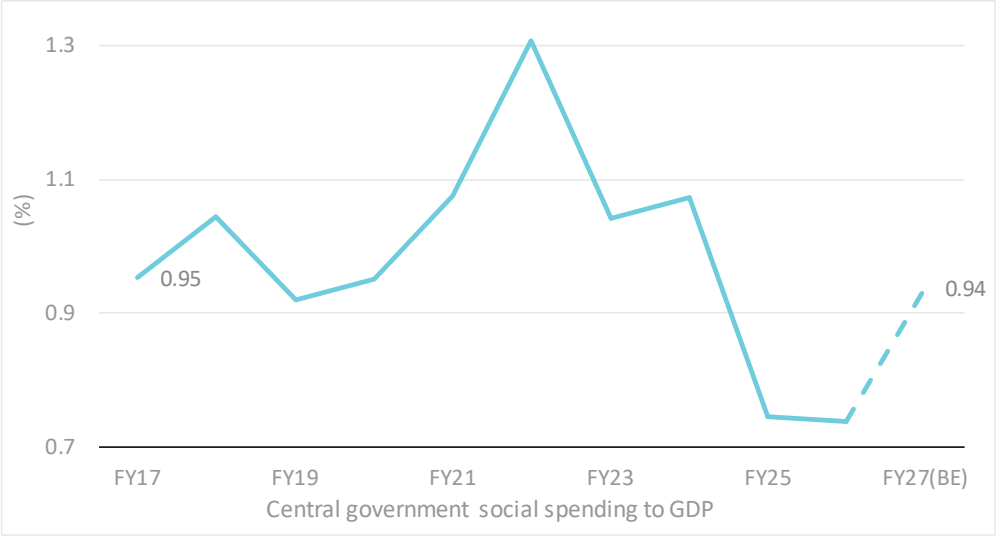
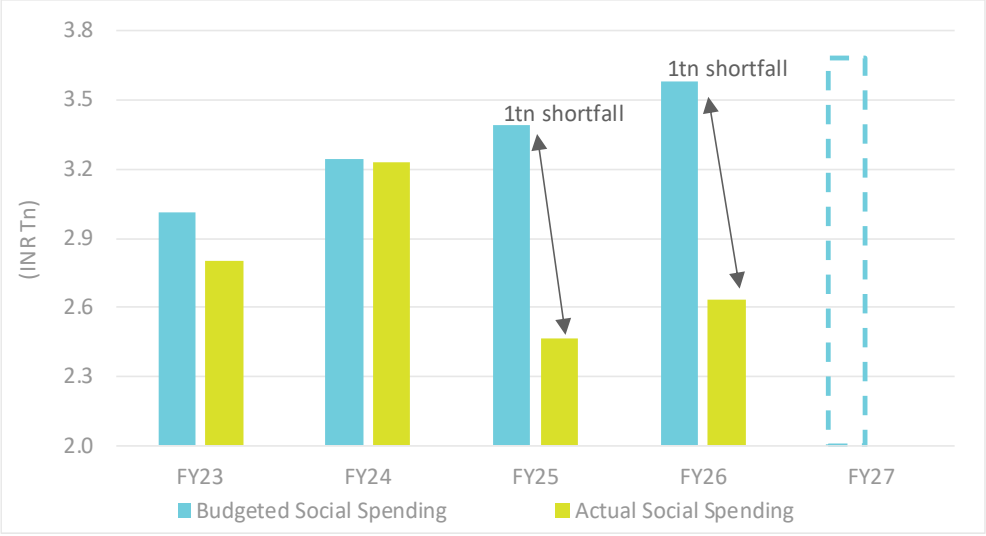
Social spending: Uptick budgeted – but will it be achieved?

Social sector spending is budgeted to increase in FY27



Source: CMIE, Budget documents, Nuvama Research
Note: FY26(RE) stands for revised estimates; FY27(BE) stands for budget estimates
Note: Social spending includes spending of Ministry of human resource development, Ministry of Health and Family Welfare, Department of Drinking Water and Sanitation and Ministry of housing and urban affairs;

…in last two years, social sector spending was much less than BE



Source: CMIE, Budget documents, Nuvama Research
Note: FY26(RE) stands for revised estimates; FY27(BE) stands for budget estimates

- Apart from rural economy, the government transfers income to households by providing social sector services as well (health, education, drinking water, urban housing, etc.)
- The allocation in these segments has reported a sharp fall in recent years. For FY27, the government is budgeting a steep 50% increase in allocation versus the revised estimates of FY26. However, it remains to be seen if they can be actually achieved.
- In the last two years as well, the government had budgeted ~INR3.5tn to the social sector, but actual spending fell short by INR1tn. Hence, a reasonable chance is there that some of the social sector spending shall eventually be saved.

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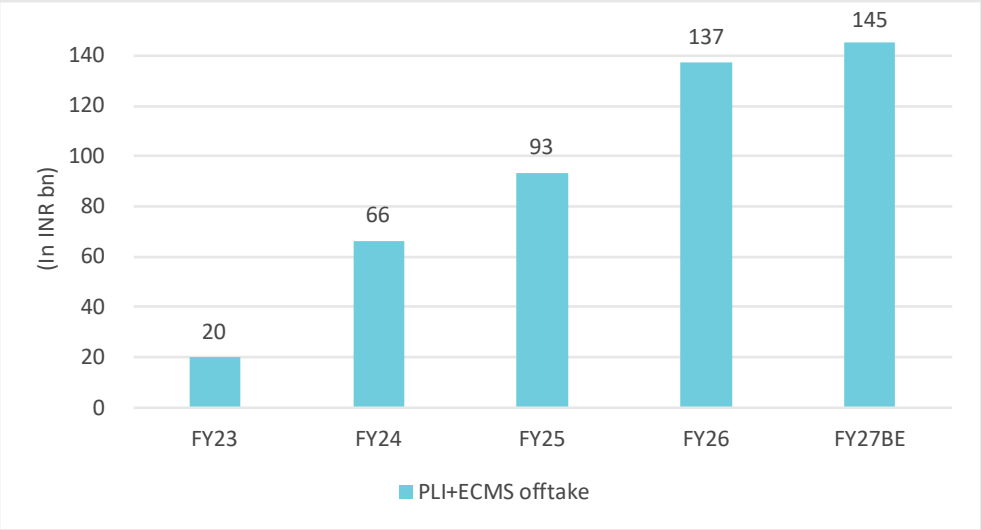
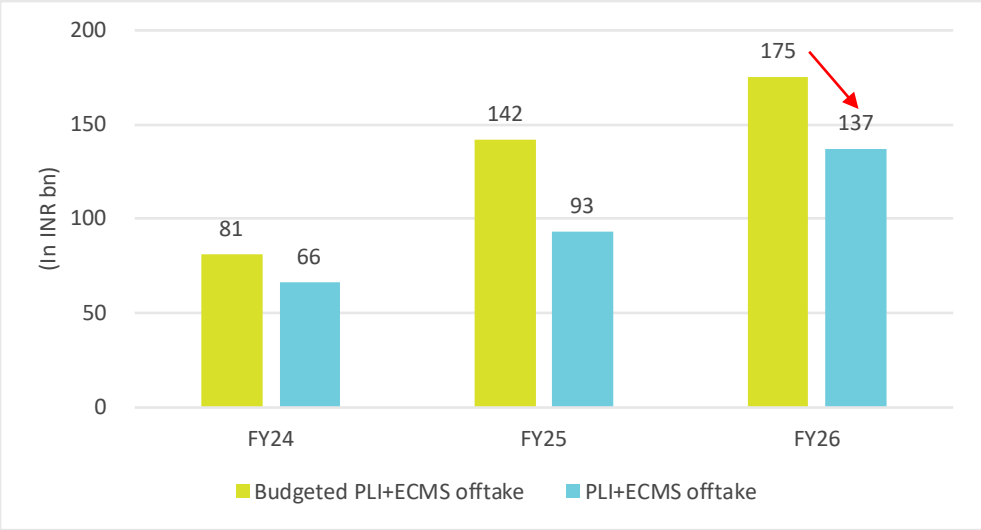
Production Linked Incentives (PLI) — Growth now moderating

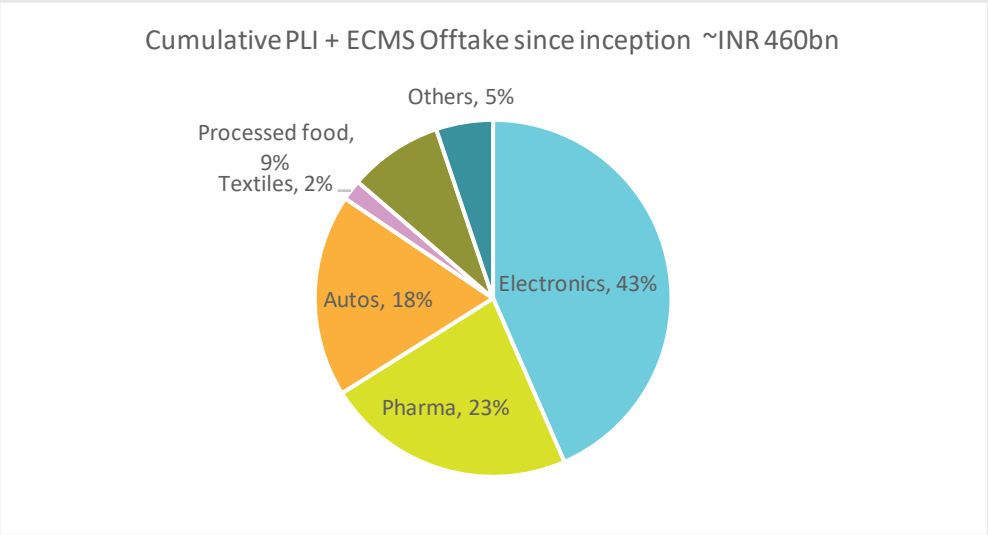
Allocations to PLI schemes now moderating…



…also in the past, actual numbers have been lower than BE



Electronics has seen sharp increase in PLI allocations



- The central governments' flagship scheme for boosting manufacturing—PLI is now reporting a moderation in allocation with just 5% growth budgeted for FY27.
- The cumulative allocation to PLI in the last five years (FY22–27) is just INR460bn—0.1% of FY27 GDP. This needs to rise to boost manufacturing more aggressively.
- Among sectors, electronics has so far got the highest allocation. However, incrementally auto sector too seems to be getting more allocation.

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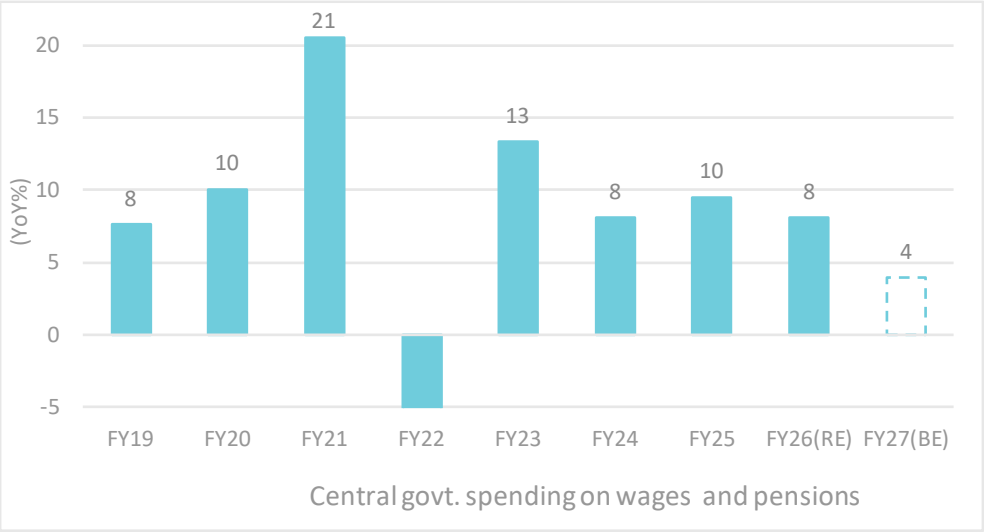
Source: CMIE, Budget documents, Nuvama research
Note: FY26(RE) stands for revised estimates; FY27(BE) stands for budget estimates

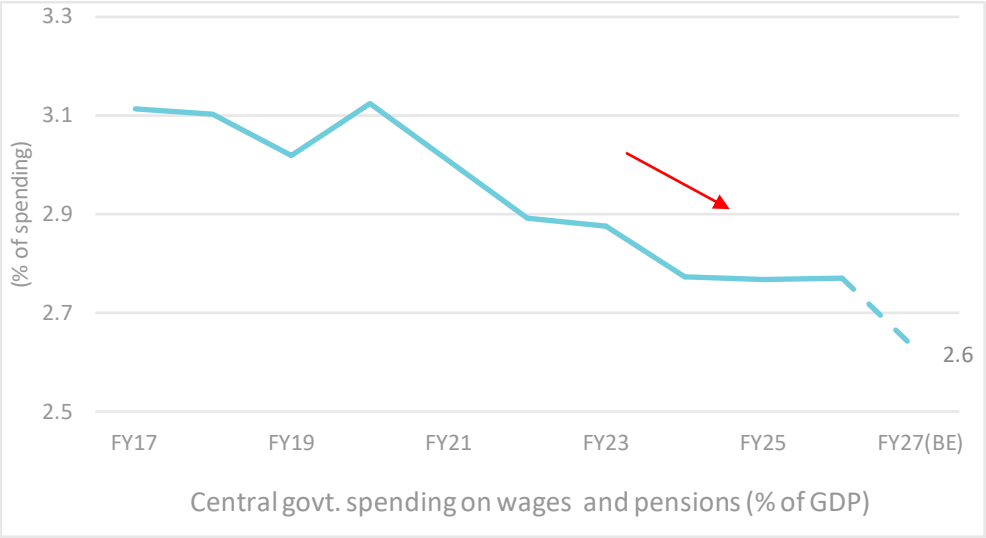
Wages: Government wage bill weak

Central government spending on wages and pensions remains low



Source: CMIE, Budget documents, Nuvama research
Note: FY26(RE) stands for revised estimates; FY27(BE) stands for budget estimates; Includes defence services revenue spending.

Central government spending on wages and pensions at ten-year low



Source: CMIE, Budget documents, Nuvama research
Note: FY26(RE) stands for revised estimates; FY27(BE) stands for budget estimates; Includes defence services revenue spending.

- For FY27, the government wage bill has been budgeted to record a sharp slowdown from 8–10% in previous years to just 4%. The weakness could perhaps be owing to potentially higher allocation in FY28 for the Eighth Pay Commission.
- In fact, as a share of GDP, central government wages and pensions have reported a slide in recent years.

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Spending allocations to major schemes

Scheme name	Inr bn			YoY%		
	FY25	FY26(RE)	FY27(BE)	FY25	FY26(RE)	FY27 (BE)
Rural oriented spending	***3,369***	***3,382***	***3,542***	***13***	***0***	***5***
*Viksit Bharat – G RAM G (Rural employment)**	*858*	*880*	*1,257*	-4	3	43
PM Kisan (Income transfers to farmers)	*661*	*635*	*635*	8	-4	0
Pradhan Mantri Awas Yojna (PMAY) - Rural	*323*	*325*	*549*	48	1	69
Pradhan Mantri Gram Sadak Yojna (Rural roads)	*179*	*110*	*190*	16	-38	73
PM Fasal Bima Yojana (Crop insurance)	*145*	*123*	*122*	12	-15	-1
Pradhan Mantri Krishi Sinchai Yojna (Irrigation)	*90*	*79*	*91*	47	-12	15
Others	*1,113*	*1,231*	*698*	22	11	-43
Social related spending	***2,466***	***2,636***	***3,685***	***-24***	***7***	***40***
Jal Jeevan mission (National rural drinking)	*226*	*170*	*677*	-68	-25	298
National Livelihood Mission - Ajeevika	*147*	*160*	*192*	*6*	*9*	*20*
Umbrella ICDS (Child development)	*210*	*209*	*231*	*-4*	*0*	*10*
Samagra Shiksha	*363*	*380*	*421*	*11*	*5*	*11*
Pradhan Mantri Poshan Shakti Nirman (PM POSHAN)	*99*	*106*	*128*	*17*	*7*	*20*
Ayushman Bharat - Pradhan Mantri Jan Arogya Yojna (PMJAY)	*93*	*114*	*137*	9	24	20
Others	*1,328*	*1,496*	*1,900*	*-21*	*13*	*27*
Capex related spending (including off-budget resources)	***14,650***	***15,147***	***16,850***	***13***	***3***	***11***
Railways (including off-budget resources)	*2,690*	*2,650*	*2,928*	3	-1	11
Roads (including off-budget resources)	*2,853*	*2,721*	*2,942*	8	-5	8
Metro projects	*246*	*311*	*287*	26	26	-8
Defence	*1,706*	*1,974*	*2,310*	4	16	17
Other PSU's	*3,961*	*4,059*	*4,482*	23	2	10
Loans to States	*1,657*	*1,750*	*2,264*	35	6	29
Others	*1,537*	*1,682*	*1,637*	13	9	-3

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Source: Budget documents, Nuvama Research
Note: *Erstwhile MNREGA in the new employment scheme

Beyond the budget math and market implications

Tax measures: Hike in securities transactions tax (STT)

- The government has proposed an increase in the securities transactions tax (STT) on futures and options. The exchequer expects to collect INR740bn from STT (versus INR640bn in FY26).
- The increase has been done to lower the speculative activity in the segment.

Equity market implications

From an equity market perspective, the hike in STT is sentimentally negative in the near term. The Budget is overall a neutral event from a markets or sectoral perspective. As we argued in our year ahead outlook, the combination of INR depreciation, fading fiscal drag and monetary easing should deliver a modest recovery in top-line and NGDP growth.

However, earnings risks persist as margins mean revert owing to high competitive intensity/capex commissioning. A modest top line recovery shall not be enough to reverse the same. Hence, we expect the earnings downgrade cycle to continue and maintain our defensive bias.

Key OW: IT, telecom, Internet, consumer, chemicals;

Key UW: BFSI, Industrials, autos and power.

Sector Highlights

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Sector highlights

Sector	Announcement in Budget	Impact on sector/company
Agri- Fertilisers	Urea subsidy (including imported urea) – INR1.16trn, lower by 7% compared with revised subsidy for FY26. NBS subsidy (including imported NPK) – INR540bn, down 10% compared with revised subsidy for FY26. We believe	Negative
Agriculture	The outlay for Pradhan Mantri Garib Kalyan Anna Yojana (launched to combat economic hardship caused by covid by providing free food grains) was largely maintained, logging only a marginal 0.14% reduction to INR2.274tn from INR2.277tn.	Neutral

Sector	Announcement in Budget	Impact on sector/company
BFSI	A high level banking committee for undertaking reforms in banking to align the sector to Viksit Bharat goals with focus on inclusive banking and consumer protection.	Positive in the very long run. Reforms will come with focus on consumer protection, which shall ensure fair treatment, but also cap profitability. Reforms could inlcude M&A and tough consumer protection norms.
BFSI	Government to restructure PFC, REC.	Details are awaited.
BFSI	Government to give partial guarantees to lenders for infra financing.	Positive for lenders focused on corporate finance.
BFSI	No change in tax on fixed deposits.	Negative on sentiment.
BFSI	No FII/FDI relaxation or specific comment on PSU merger.	Negative for PSU banks since part of the recent rally was driven by these expectations.
BFSI	Higher-than-expected gross borrowing programme of the central government.	Negative for bond yields, which could hurt banks, especially PSU banks.

Sector highlights (contd.)

Sector	Announcement in Budget	Impact on sector/company
Non-lending Financial	Increase of STT on futures from 0.02% to 0.05% while hiking STT on options to 0.15%.	Earlier similar hikes in Oct-24 were done. We have estimated the same by cutting volumes on a proportionate basis and the worst FY27/28E APAT hit for BSE would be close to 5.3%/5.2%. We believe the negative sentiment would be for the capital market space where industry volumes will be hurt. NSE would hurt more than BSE given close to 100% market share is with NSE with higher share of ex-retail volumes.

Sector	Announcement in Budget	Impact on sector/company
Cement	Overall allocation towards Urban and Rural houisng continues to remain flat YoY.	Neutral for cement sector players

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Sector highlights (contd.)

Sector	Announcement in Budget	Impact on sector/company
Auto	PLI outlay for Auto and Components increased to INR59.4bn from INR20.91bn, an increase of 184%.	Positive for EV OEMs and ancillaries.
	i) PM e-drive outlay increased to INR15bn from INR13bn, an increase of 15%. ii) Under Purvodaya Scheme, the government has announced the procurement and deployement of 4,000 electric buses to strengthen public transport in eastern states iii) PM e-Bus Sewa (payment security scheme mechanism) has been decreased by 98% to INR120mn in FY27 versus INR5.1bn in FY26	Increase in PM e-drive outlay and Purvodaya scheme is positive for E-Bus procurement. Further PM e-drive is positive for charging infrastructure expansion. Mild positive for Tata CV and Ashok Leyland.
	Infrastructure spending: Public capex to increase to INR12.2tn from INR11.2tn, an increase of 9%. Roads outlay for the Ministry of Roads up 8% YoY at INR2.94tn	This move underscores a continued focus on infrastructure-led growth. Positive for CV companies such as Tata CV and Ashok Leyland.
	i) Extension of the basic customs duty exemption given to capital goods used for manufacturing Lithium-Ion cells for batteries to those used for manufacturing Lithium-Ion cells for battery energy storage systems too. ii) PLI for advance chemistry cell (ACC) battery increased by 546% to INR860mn.	Mild positive for battery manufacturers such as Exide Industries and Amara Raja.
	Rare-earth magnet corridors being planned underlining the strategic focus on critical minerals and components. Centre will support Odisha, Kerala, Andhra Pradesh and Tamil Nadu under the rare-earth corridor initiative.	Medium-term positive as it aids reliability of EV supply chain.
	Railways outlay up 11% YoY at INR2.92tn.	Positive for bearing companies (Timken, SKF, Schaeffler, etc.) and Sona BLW
	Outlay of INR85.5bn for Rashtriya Krishi Vikas Yojana.	Neutral for companies such as M&M and Escorts.

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Sector highlights (contd.)

Sector	Announcement in Budget	Impact on sector/company
Defence	FY26 revised estimate grew ~4% versus FY26 budget estimate **along with ~17.6% jump from FY26RE versus FY27BE to INR2.2tn.**	We believe that the allocation increase will be attributed to: > Increased modernisation efforts towards existing larger platforms (avionics, high-power radars, jet engines, high-tech military equipment, etc.). > Procurement of large platforms to cater to growing fleet requirement across Air force and Navy. > Larger emphasis on exports-led growth. Top picks: BEL (CMP: INR437, TP: INR525), Data Patterns (CMP: INR2,559, TP: INR3,570), Solar Industries (CMP: INR13,312, TP: INR18,000).
Railways	Railways budget grew 10.5% driven by coaches, wagons and line electrification	No major positive for ABB, Siemens, CG Power
Others	Data centre tax holiday till 2047 to any foreign company providing cloud services to customers globally by using data centre services from India	Positive for ABB, Siemens and Cummins that provide equipment to data centres
Others		

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Sector highlights (contd.)

Sector	Announcement in Budget	Impact on sector/company
IT	Buyback to be treated as capital gain. - Hence, to be taxed at 12.5%/20% depending on LT/ST for non-promoter. For promoters, it is 22%/30% for corporate/non-corporate shareholders.	This makes buyback more lucrative for retail as well as promoter shareholders (more for non-promoters than promoters).
IT	Companies can avail safe harbour if: Margins > 15.5% and Transaction size < INR20bn	This makes compliance easy for IT companies, but is more positive for GCCs — small positive for larger third-party IT services companies

Sector	Announcement in Budget	Impact on sector/company
New Energy	BCD exemption for lithium ion cells for battery for BESS – reduces BESS tariffs and Sodium antimonate used in solar glass	Positive for Reliance Industries, Waaree, Premier.
New Energy	Carbon capture utilisation and storage for five sectors – Power, steel, cement, refineries and chemicals – outlay of INR200bn over five years	Positive for Reliance Industries.
New Energy	Surya Ghar FY27 BE at INR220bn (+29%) versus FY26 RE at INR170bn	Positive for ALMM two companies, Waaree Energies and Premier.
Oil & Gas	Bio gas blended CNG excise exemption	Positive for IGL and MGL

Sector highlights (contd.)

Sector	Announcement in Budget	Impact on sector/company
Pharma	Allocation of INR100bn over next five years towards: i) Biopharma Shakti initiative to enhance India build the ecosystem for domestic production of biologics and biosimilars; ii) Yhree new Pharma Education and Research institutes; and iii) create a network of over 1,000 accredited India clinical trials sites.	Positive for the sector. Biocon and Syngene poised to benefit in the long term.
	To strengthen domestic standards through the local regulatory body	Positive for the organised pharmaceutical sector as it will reduce unorganised pharma companies.
	Reduction of import duty in 17 drug medicines	Drugs of Novartis, Astrazeneca and Dr Reddy's feature in this list. Hence, those drugs can report a ramp-up.
Healthcare	**Medical tourism initiatives:** To raise five regional medical hubs in partnership with private sector. This will serve healthcare complex, medical education, Ayush centres, medical value tourism, infrastructure for diagnostic, post-care and rehab. Diverse jobs opportunities for doctors and AHPs. **Geriatric care** – To train 150,000 caregivers.	Positive for hospitals and diagnostics sector.
	Focus on Ayurveda: i) Set up three new all-India institutions of Ayurveda; ii) upgrade Ayush pharmacy and drug testing labs for highest standards; iii) upgrade WHO traditional medical centre in Jamnagar to evidence-based research and training hub.	Positive

Sector highlights (contd.)

Sector	Announcement in Budget	Impact on sector/company
Retail	On Sovereign Gold Bond, the Budget clarifies that capital gain exemption on eight-year maturity is only applicable for original subscriber and the bond should be continuously held till maturity	Neutral
Textile	A new five-part programme was introduced to strengthen the entire value chain. The five pillars are the National Fibre Scheme, Textile Expansion and Employment Scheme, National Handloom and Handicraft Programme, Text-ECON Initiative and SAMARTH 2.0	Marginally Positive impact on the sector, No immediate impact though
	New mega parks will be developed using a "challenge mode" approach to attract investment, focusing on technical textiles and high-value, sustainable products.	Marginally positive impact on the sector. However, no immediate impact
	Emphasis was placed on improving cotton yields, particularly extra-long staple varieties, to ensure a stable supply of raw materials	Marginally positive impact on sector though no immediate impact
	Increased export potential from trade agreements, offering support for MSMEs in the sector	Positive for sector, as it will open up more avenues for Indian companies to export

Sector highlights (contd.)

Sector	Announcement in Budget	Impact on sector/company
Hospitality	Centre to support states in setting up five hubs for medical tourism	Marginally positive, Medical Tourism currently forms 6% of the total foreign tourist arrivals
	The government will set up a National Institute of Hospitality by upgrading the National Council for Hotel Management and Catering Technology. The institute will work closely with academia, industry and government to improve training and standards in hospitality	Neutral as the infra setup for Indian Hotel Management already exists with multiple institutes registered under National Council for Hotel Management and Catering Technology
	A pilot scheme for upskilling 10,000 guides in 20 iconic tourist sites through a standardised, high-quality, 12-week training course in hybrid mode in collaboration with the Indian Institute of Management	Marginally positive
	The Budget also highlights eco-tourism and nature-based travel. The government will develop sustainable mountain trails in Himachal Pradesh, Uttarakhand and Jammu and Kashmir, as well as in Araku Valley in the Eastern Ghats and Pudigai Malai in the Western Ghats to improve on the Trekking and Hiking experience. In addition, special trails will be created for wildlife tourism. These include turtle trails along nesting sites in Odisha, Karnataka and Kerala, and bird-watching trails around Pulicat Lake	Marginally positive
	Develop 15 archaeological sites into vibrant experienced cultural destinations in an effort to boost the country's tourism.	Marginally positive
	Tax collected at source on sale of overseas tour programme reduced to 2% from current 5% (first INR1mn spent per individual) and 20% (any amount exceeding INR1mn in the same FY).	Marginally negative as it reduces fund outflow for Foreign Tourism.

Sector highlights (contd.)

Sector	Announcement in Budget	Impact on sector/company
Infrastructure	Overall allocation towards railway sector has been increased after being flat for two consecutive years	Positive for rail EPC and wagon/coach manufacturers.
	Allocation for the NHAI continues to remain flat YoY	Negative for road sector players.
	Outlay for metro rail down 12% YoY	Negative for contractors and rolling stock players
	Creation of infrastructure risk guarantee fund	Positive for developers, as it aids in providing partial credit guarantees to lenders
	Proposal to establish new DFC and seven new HSR corridors	Positive for new track laying and wagon players

Sector	Announcement in Budget	Impact on sector/company
Power	Capex up 32% for PGCIL and 7% for NTPC	Slight positive, but largely In line with guidance
Power	Large uptick in solar rooftop FY27BE outlay - PM Surya Ghar Muft Bijli Yojana (additional INR50bn) and Green Hydrogen	Positive for Tata Power
Power	Increase in total investment in Public Enterprises (IEBR)	Positive for hydro players: NHPC, SJVN, PGCIL, NTPC
Power	Basic customs duty (BCD) exemptions on goods imported for nuclear power projects have been extended untill 2035 and expanded to cover all plants regardless of capacity	Positive for nuclear players such as NPCIL/ BHEL for EPC

Sector highlights (contd.)

Sector	Announcement in Budget	Impact on sector/company
Consumer durables		
PMKUSUM	FY25 outgo was INR25.6bn. FY26 BE was INR26bn while FY26RE was INR50bn. FY27BE is INR50bn (flat YoY). This means PM KUSUM scheme will continue (what fashion/modalities to be monitored)	Positive for Oswal Pumps/Crompton Greaves Consumer
Solar Rooftop scheme	FY25 outgo was INR78.2bn. FY26 BE was INR200bn while FY26RE is INR170bn. FY27BE is INR220bn (+29% YoY). This means PM KUSUM scheme shall continue (what fashion/modalities to be monitored)	Positive for Crompton, Havells and Polycab
EMS		
ISM 2.0	ISM 2.0 to produce equipment and materials, design full-stack Indian IP and fortify supply chains. GoI will also focus on industry-led research and training centres to develop technology and skilled workforce INR10bn is allocated for this for BE2027 (versus INR200bn approximate subsidy needed for Dixon's earlier plans of INR280–300bn alone)	Just sentimental positive
Electronics Components Manufacturing Scheme	Launched in April 2025 with an outlay of INR229bn, already has investment commitments at double the target. The company proposes to increase the outlay to INR400bn. This is over a five-year period. This means several proposals would be approved. Most of our coverage companies have submitted more than one proposal under this scheme and likely to see most getting approved. Importantly, allocation of INR15bn in FY27 (BE), substantially higher than INR68mn in FY26 (RE).	
PLI scheme	PLI scheme outgo at INR70bn for RE26 (versus INR90bn in BE26; implies cut to earliest estimate), +21% YoY (INR58bn in FY25 actual)- This implies a decline YoY for PLI scheme, (implying dent to industry's hopes of mobile PLI extension)	Negative for Dixon sentimentally

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